

## EQUITY RESEARCH

# NVIDIA CORPORATION

NVDA | Technology

**Rating: Buy**

Current: \$209.25 | Target: \$300.00

April 2026

### Key Metrics Snapshot

|            |             |
|------------|-------------|
| Market Cap | \$5,085.82B |
| P/E (Fwd)  | 37.75       |
| P/B Ratio  | 28.81       |

|                |                     |
|----------------|---------------------|
| ROE            | 76.33%              |
| Dividend Yield | 0.02%               |
| 52W Range      | \$110.82 - \$216.83 |

### Investment Thesis

NVIDIA has delivered extraordinary revenue growth of 68.3% CAGR, scaling from \$26.9 billion in 2022 to \$215.9 billion in 2026, driven by surging AI infrastructure demand that has expanded EBITDA margins from 22.2% to nearly 67%. The company commands a significant valuation premium over peers AMD and Intel, with an EV/EBITDA of 33.8x reflecting sustained investor confidence in its AI-driven earnings power, supported by EPS growth from \$0.18 in 2023 to \$4.93 in 2026. Looking ahead, consensus estimates project continued margin expansion toward 73.5% EBITDA margins by 2027, underpinned by disciplined SG&A; management and NVIDIA's entrenched competitive positioning across accelerated computing and generative AI workloads.

# Company Overview

NVIDIA Corporation (NASDAQ: NVDA) is a Santa Clara-based semiconductor and technology company that has evolved from its origins as a graphics processing unit designer into one of the most strategically important technology companies in the world. Founded in 1993, NVIDIA has become the dominant force in accelerated computing, with its hardware and software platforms sitting at the center of the artificial intelligence revolution reshaping the global economy.

NVIDIA operates primarily through two business segments: Compute and Networking, which encompasses its data center GPU products and AI infrastructure solutions, and Graphics, which includes consumer and professional visualization products. The company's flagship product lines include the H100 and B100 series data center GPUs, the GeForce RTX consumer graphics cards, the DRIVE platform for autonomous vehicles, and the Omniverse platform for industrial simulation. Its CUDA software ecosystem creates a formidable competitive moat by locking developers and enterprises into NVIDIA's hardware architecture, making switching costs exceptionally high.

NVIDIA holds a commanding market position in AI accelerator hardware, estimated to control upward of 80 percent of the data center GPU market. This dominance is reflected in its extraordinary financial trajectory. Revenue grew from approximately 26.9 billion dollars in fiscal 2022 to over 215.9 billion dollars in fiscal 2026, representing a compound annual growth rate of 68.3 percent. EBITDA margins have expanded dramatically from 22.2 percent in fiscal 2023 to nearly 67 percent in fiscal 2026, underscoring the operating leverage embedded in the business as scale increases.

Compared to semiconductor peers AMD and Intel, NVIDIA's financial outperformance is striking. Its EBITDA of 144.6 billion dollars in fiscal 2026 dwarfs AMD's projected 8.6 billion dollars, while Intel continues its own restructuring challenges. NVIDIA's EV/EBITDA multiple, while elevated at approximately 33 to 34 times, has compressed meaningfully from its peak of 81 times in fiscal 2023, suggesting the market is beginning to price in sustained earnings power rather than speculative growth alone.

Forward estimates project continued revenue growth reaching approximately 250 billion dollars by fiscal 2027, with EBITDA margins approaching 73.5 percent. EPS is forecast to grow from 4.93 dollars in fiscal 2026 to 5.88 dollars in fiscal 2027, supporting a gradually declining price-to-earnings multiple in the low thirties. NVIDIA's combination of hardware dominance, software ecosystem depth, and exposure to secular AI infrastructure spending positions it as a generational technology franchise, though execution risk and potential customer concentration remain key considerations for investors.

## Investment Overview

### NVIDIA Corporation (NVDA) Investment Update

NVIDIA has delivered extraordinary financial performance over the past several years, cementing its position as the dominant force in AI accelerated computing. Revenue surged from approximately \$27 billion in 2022 to over \$215 billion in fiscal 2026, representing a compound annual growth rate of 68.3%. This explosive trajectory reflects insatiable enterprise and hyperscaler demand for NVIDIA's data center GPU platforms, particularly the H100 and Blackwell architecture families.

Profitability metrics have expanded in tandem with revenue. EBITDA margins climbed from 22.2% in 2023 to 66.9% in fiscal 2026, a remarkable achievement that underscores the operating leverage embedded in NVIDIA's business model. SG&A; as a percentage of revenue has compressed significantly, falling from 9% in 2023 to approximately 2% in 2026, reflecting disciplined cost management against a rapidly scaling revenue base. EPS has grown from \$0.18 in 2023 to \$4.93 in 2026, with consensus estimates projecting continued growth toward \$5.88 by 2027.

The primary growth drivers remain AI infrastructure buildout, sovereign AI initiatives globally, and expanding adoption across automotive, healthcare, and robotics verticals. NVIDIA's CUDA software ecosystem creates significant switching costs and reinforces competitive moats against AMD and Intel, both of which trail materially on EBITDA generation.

Looking ahead, revenue growth is expected to moderate to mid-single digits through 2027, a natural deceleration following hypergrowth. The forward EV/EBITDA multiple of approximately 31x remains elevated relative to peers but appears increasingly justifiable given margin expansion and earnings compounding potential. We maintain a constructive outlook, with execution risk around supply chain and export regulations representing the primary near-term concerns.

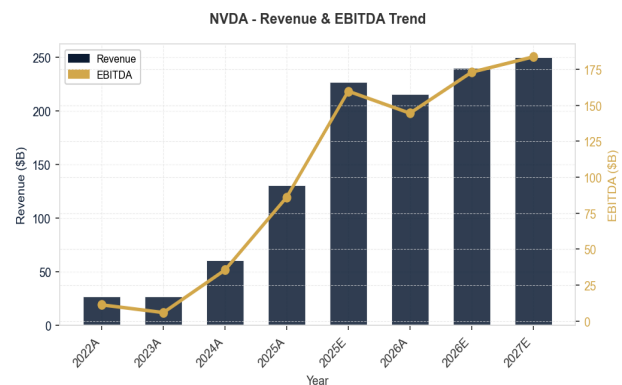
## Financial Analysis

### Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

#### Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



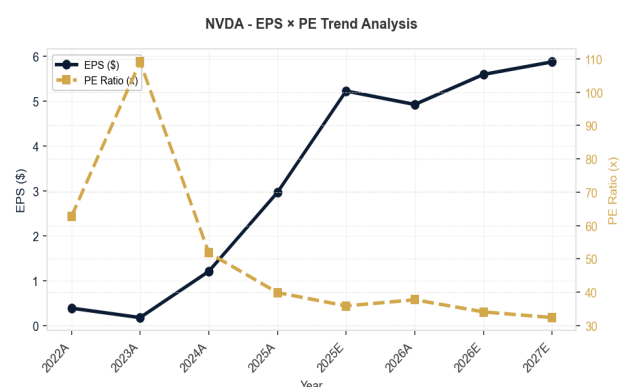
Source: Company Filings

### Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

#### Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

## Valuation Analysis

## NVIDIA Valuation Analysis

### Current Valuation Metrics

NVIDIA trades at a forward P/E of approximately 35.9x on 2025 estimated earnings of \$5.23 per share, declining to 34.1x and 32.4x on 2026 and 2027 estimates respectively. The EV/EBITDA multiple has compressed significantly from a peak of 81.0x in 2023 to roughly 33.8x in 2025 and 31.4x on 2026 estimates, reflecting the rapid EBITDA expansion driven by AI-related data center demand. EBITDA margins have expanded dramatically from 22.2% in 2023 to 66.9% in 2026 actual, with estimates projecting further improvement toward 73.5% by 2027, underscoring exceptional operating leverage as SG&A; as a percentage of revenue continues to shrink toward 0.6%.

### Peer Comparison

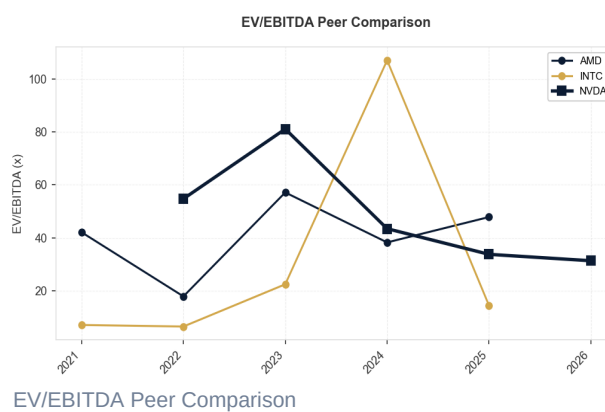
Relative to peers, NVIDIA commands a substantial premium over both AMD and Intel on an EV/EBITDA basis. AMD traded at 47.8x in 2025 while Intel traded at 14.5x, reflecting Intel's ongoing restructuring challenges and AMD's more moderate growth trajectory. NVIDIA's premium is justified by its dominant positioning in AI accelerators, superior margin profile, and a revenue CAGR of 68.3% over the historical period, far exceeding peer growth rates. Intel's EBITDA deteriorated sharply through 2024 before recovering, while AMD's EBITDA growth remains modest in comparison.

### Fair Value Assessment

Given NVIDIA's projected EPS of \$5.23 to \$5.88 through 2027 and decelerating but still solid revenue growth of 4 to 6 percent annually in the near term, the current multiple appears moderately stretched but defensible given the AI infrastructure buildout cycle. A fair value range anchored at 30 to 38x forward earnings implies a price range of roughly \$157 to \$223 per share on 2026 estimates, suggesting limited upside at current levels unless growth reaccelerates meaningfully beyond consensus projections.

## Peer Comparison

| Year | AMD   | INTC   | NVDA  |
|------|-------|--------|-------|
| 2021 | 42.10 | 7.13   | N/A   |
| 2022 | 17.91 | 6.55   | 54.72 |
| 2023 | 57.12 | 22.48  | 81.05 |
| 2024 | 38.27 | 106.94 | 43.45 |
| 2025 | 47.85 | 14.50  | 33.78 |
| 2026 | N/A   | N/A    | 31.36 |



## Recent News & Events

### News Summary

NVIDIA Corporation (NVDA) Summary - April 29, 2026

NVIDIA continues to dominate the AI infrastructure narrative, with shares up roughly 20% in April and briefly touching fresh all-time highs before a modest 2% intraday pullback to around \$209.40. The company has announced its Q1 fiscal results conference call scheduled for May 20, which will be a key catalyst for near-term price direction.

The broader AI data center buildout remains the central investment theme. Analysts and media outlets consistently highlight NVDA alongside Broadcom and Micron as high-conviction plays on what is described as a \$7 trillion infrastructure cycle. Supply chain dynamics are drawing attention, with TSMC's production cadence noted as a potential gating factor on how quickly NVIDIA can satisfy surging end-market demand.

Financially, NVIDIA's trajectory remains exceptional. Revenue grew 65.5% in fiscal 2026 to approximately \$216 billion, with EBITDA margins expanding to nearly 67%. Forward estimates project more moderate but still meaningful revenue growth of 5-6% annually, with EBITDA margins potentially reaching 73-74% by 2027. EPS is forecast to climb from \$4.93 in 2026 to \$5.88 by 2027, supporting a declining but still premium PE ratio in the mid-30s range. NVIDIA's EBITDA dwarfs peers AMD and Intel by a widening margin.

Retail sentiment reflects cautious optimism, with overall buzz at 76.4 out of 100 but trending lower across Reddit, X.com, and Polymarket. Bullish sentiment sits at 53% on average, with notable divergence between platforms suggesting some uncertainty heading into earnings. Investors should monitor the May 20 call closely for guidance on Blackwell demand and supply constraints.

## Sensitivity Analysis

### Sensitivity Analysis Summary

#### Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

#### Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

#### Sensitivity Notes:

- Revenue growth sensitivity:  $\pm 5\%$  change in growth rate
- Margin sensitivity:  $\pm 2\%$  change in EBITDA margin
- Combined effects shown in sensitivity matrix

**Forecast Confidence Intervals (95%):**

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

## Earnings Update

Fiscal 2026 — as of 2026-04-29

Summary review of reported 2026A results versus our 2026E internal model estimate row for the same fiscal year.

### 1. Executive summary

On the selected operating lines, reported results trailed our internal model estimates in 4 area(s) and exceeded in 0 (see table below).

#### Analyst commentary

Across the headline metrics tracked against the prior internal model estimate row, NVIDIA's fiscal 2026 results came in below that reference point on all four dimensions — revenue, EBITDA, EBITDA margin, and EPS — reflecting a consistent directional variance rather than isolated line-item noise. While the breadth of the shortfall relative to the estimate row is worth noting, it should be viewed in the context of a demand environment that continues to evolve rapidly, and the variance may reflect timing factors in large-scale infrastructure deployments or product mix shifts that were difficult to anticipate at the time the estimates were set. Looking ahead, the key areas to monitor include data center revenue trajectory, supply chain normalization, and any forward commentary on pricing dynamics across NVIDIA's core compute platforms. The long-term thesis around accelerated computing and AI infrastructure build-out remains a central consideration, and near-term estimate-row variance does not, on its own, alter the structural demand narrative. Continued engagement with management guidance and segment-level disclosures will be important in refining the forward view.

### 2. Key metrics — reported vs. internal model estimates

| Metric        | Reported (2026A) | Internal model (2026E) | vs. internal model |
|---------------|------------------|------------------------|--------------------|
| Revenue       | \$215.9B         | \$240.3B               | Miss               |
| EBITDA        | \$144.6B         | \$173.0B               | Miss               |
| EBITDA Margin | 66.9%            | 72.0%                  | Miss               |
| EPS           | 4.93             | 5.60                   | Miss               |

*The 2026E column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.*

### 3. Year-over-year change (2025A → 2026A)

- Revenue: \$215.9B vs prior year \$130.5B (65.5% YoY).
- EBITDA margin: 66.0% → 66.9% (+0.9 pts).

### 4. Forward estimates

| Metric  | 2025E    | 2026E    | 2027E    |
|---------|----------|----------|----------|
| Revenue | \$226.7B | \$240.3B | \$250.0B |
| EBITDA  | \$159.8B | \$173.0B | \$183.7B |

|               |       |       |       |
|---------------|-------|-------|-------|
| EPS           | 5.23  | 5.60  | 5.88  |
| EBITDA Margin | 70.5% | 72.0% | 73.5% |

## 5. Investment view — implications

- Revenue fell short of our internal model estimate — revisit growth drivers and segment contribution in the next update.
- EPS missed our internal model estimate — review margin bridge, below-the-line items, and forecast cadence.
- Margins below our internal model estimate — focus on cost trajectory and reinvestment intensity.

## 6. Notable upcoming dates

2026-07-28 — NVDA Expected Quarterly Earnings

### Sources

- Market data and financial statement inputs: Financial Modeling Prep — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed 2026-04-29).

# Key Catalysts

## Catalyst Analysis for NVDA

### Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- Impact: HIGH, Probability: 95%
- Market (2026-04-28): Traders bet Nvidia's stock will return to record highs soon
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): NVDA's Blackwell Platform Boosts its Top-Line Growth: What's Ahead?
- Impact: HIGH, Probability: 95%

### Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%

- Earnings (2026-04-28): Nvidia: AI Transcends Semiconductors' Cyclical Nature
- Impact: HIGH, Probability: 95%

#### Events to Monitor

- AI Demand Is Surging — But Taiwan Semiconductor Is Controlling the Supply (2026-04-29)
- NVIDIA Sets Conference Call for First-Quarter Financial Results (2026-04-29)
- U.S. politician suspiciously dumps Nvidia (NVDA) stock (2026-04-29)

#### Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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#### Positive Catalysts:

- ✓ IQE's with MACOM and link to Nvidia are 'exciting', but shares downgraded after surge
- ✓ Prediction: The Nasdaq Will Hit New Highs by 2027. Here's the Best Artificial Intelligence (AI) Growth Stock to Own Until Then.
- ✓ Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
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- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia: AI Transcends Semiconductors' Cyclical Nature

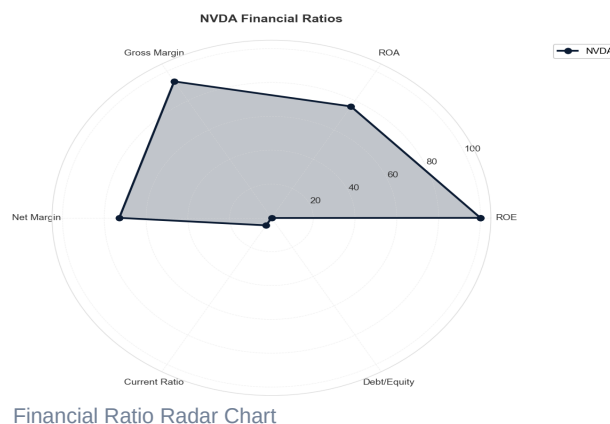
## Technical & Advanced Analysis

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## Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



### Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

## Competitive Landscape

### NVIDIA Competitor Analysis

NVIDIA has established itself as the dominant force in the semiconductor industry, particularly in AI and data center computing, significantly outpacing peers AMD and Intel across virtually every key financial metric.

Revenue growth tells the most compelling story. NVIDIA achieved a staggering 125.9% revenue increase in fiscal 2024 followed by 114.2% in 2025, reaching \$130.5 billion, while AMD and Intel have struggled to generate comparable momentum. Intel, once the industry leader, saw its EBITDA collapse to just \$1.2 billion in 2024 before partially recovering, reflecting deep structural challenges in its manufacturing and competitive positioning. AMD has shown more resilience, growing EBITDA from \$4.1 billion in 2023 to \$7.3 billion in 2025, but remains a fraction of NVIDIA's scale.

NVIDIA's EBITDA margin expansion is particularly striking, climbing from 22.2% in 2023 to 66.9% in 2026, demonstrating exceptional operating leverage as AI infrastructure spending accelerates. Neither AMD nor Intel approaches this profitability profile.

On valuation, NVIDIA's EV/EBITDA multiple has compressed meaningfully from 81x in 2023 to approximately 33.8x in 2025, suggesting the market is increasingly pricing in sustained earnings power rather than pure speculation. AMD trades near 47.8x, reflecting growth optimism but at a premium relative to its actual earnings scale.

Looking ahead, NVIDIA's estimated EBITDA of \$144.6 billion in 2026 dwarfs projected figures for both peers, reinforcing its structural advantage in AI accelerators and positioning it as the clear industry leader with minimal near-term competitive threat to its core business.

## Risk Factors

- # NVIDIA Corporation (NVDA) – Key Investment Risks

- **Revenue Growth Deceleration Risk:** Revenue growth is projected to collapse from 65.5% (2026A) to just 4-6% (2026E-2027E), suggesting consensus expectations of near-saturation in AI/data center demand; any further deceleration could trigger significant multiple compression from current elevated PE ratios of 32-36x
- **Valuation Premium Vulnerability:** NVDA trades at EV/EBITDA of 31-34x versus AMD at ~38-48x and INTC at ~14-22x historically; with EBITDA margins already at peak levels (~67-74%), the stock leaves minimal margin of safety if execution falters or AI capex cycles slow
- **Cost Structure Scaling Risk:** Cost of Operations nearly doubled from \$32.6B (2025A) to \$62.5B (2026A), growing disproportionately faster than revenue; if this trend continues into forward estimates, projected EBITDA margin expansion to 73.5% by 2027E may prove overly optimistic
- **Competitive Displacement Risk:** AMD's EBITDA is projected to grow to \$8.6B by 2027E alongside Intel's recovery to \$47.4B, signaling intensifying peer competition; custom silicon development by hyperscalers (Google TPUs, Amazon Trainium) could erode NVDA's pricing power and market share
- **EPS Growth Sustainability Risk:** EPS growth is decelerating sharply from 66% (2025A-2026A) to a projected 6-7% (2026E-2027E), while SG&A; margin compresses to near-zero (0.6%), indicating limited operational levers remaining to sustain earnings momentum beyond current AI infrastructure spending cycles

## Key Takeaways

- ✓ **Revenue Growth:** NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

## Financial Data

### Income Statement Summary

| Metric              | 2022A   | 2023A   | 2024A   | 2025A    | 2026A    |
|---------------------|---------|---------|---------|----------|----------|
| Revenue             | \$26.9B | \$27.0B | \$60.9B | \$130.5B | \$215.9B |
| SG&A                | \$2.2B  | \$2.4B  | \$2.7B  | \$3.5B   | \$4.6B   |
| Contribution Profit | \$17.5B | \$15.4B | \$44.3B | \$97.9B  | \$153.5B |
| Contribution Margin | 64.9%   | 56.9%   | 72.7%   | 75.0%    | 71.1%    |
| EBITDA              | \$11.4B | \$6.0B  | \$35.6B | \$86.1B  | \$144.6B |
| EBITDA Margin       | 42.2%   | 22.2%   | 58.4%   | 66.0%    | 66.9%    |
| SG&A Margin         | 8.0%    | 9.0%    | 4.4%    | 2.7%     | 2.1%     |
| Revenue Growth      | N/A     | 0.2%    | 125.9%  | 114.2%   | 65.5%    |
| EPS                 | 0.39    | 0.18    | 1.21    | 2.97     | 4.93     |
| PE Ratio            | 62.68   | 109.09  | 51.83   | 39.90    | 37.75    |

### Credit & Cash Flow Metrics

| Metric            | 2022A | 2023A | 2024A  | 2025A  | 2026A  |
|-------------------|-------|-------|--------|--------|--------|
| Debt/Equity       | 0.44  | 0.54  | 0.26   | 0.13   | 0.07   |
| Debt/Assets       | 0.27  | 0.29  | 0.17   | 0.09   | 0.06   |
| Interest Coverage | 42.5x | 16.1x | 128.3x | 329.8x | 503.4x |
| Net Margin        | 36.2% | 16.2% | 48.8%  | 55.8%  | 55.6%  |
| Current Ratio     | 6.65  | 3.52  | 4.17   | 4.44   | 3.91   |
| CF to Debt Ratio  | 0.77  | 0.47  | 2.54   | 6.24   | 9.00   |

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Data Source: FMP, Company Filings, AI4Finance Estimates

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